INCENTIVE STRUCTURES THEORY OF EVERYTHING

How to Use ISTOE

A universal root cause analysis engine

A diagnostic framework and semantic index of incentives. Like a flowchart or an organization map - just scaled. It does not explain everything. It makes any problem easier to see: at every scale, from one person to a whole industry.

STOP ASKING

“What is wrong with the people?”

START ASKING

“What behavior is this rule-set mathematically rewarding?”

THE METHOD - FOLLOW THE ARROWS, TOP TO BOTTOM

0 — **Strip the moral and emotional charge**

Moral impotence, step zero. Set blame, praise, and outrage to one side for the mapping pass. You are not deciding what anyone deserves. You are trying to see the structure clearly.

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1 — **Name the symptom - the Output**

State only what is observable: people quit, churn, burn out, game the metric, stop trying. No motive, no character judgment yet. **If you cannot observe it, you cannot map it.**

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2 — **Map every stakeholder - without truncation**

List everyone affected, including people with no seat at the table and the mapper. For each one ask: What do they gain, lose, risk, and pay? **Do not stop early, and do not treat the current system as fixed background.**

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3 — **Trace each incentive to its terminal goal**

Keep asking “what is that for?” Money is rarely terminal. Follow it down to security, autonomy, competence, relatedness, comfort, status, or relief. Apparent dead-end conflicts often dissolve at this depth.

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4 — **Identify the pattern in the index**

Name the mechanism, not the villain. Is this reward hacking, a collapsed energy-return ratio, crowding-out, a mismatched interface, continuity bias? See the pattern index on page 2.

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5 — **Check that pattern’s known failure modes**

Every pattern fails in predictable ways. Check for proxy gaming, wanting without liking, irreversibility, concentrated losers who can block change, and corrupted measures before you propose anything.

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6 — **Redesign the rule-set, not the people**

Treat the system as a design variable. Change the rule, price, default, interface, or reward so the **desired behavior becomes the locally rational, default choice** for each stakeholder.

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7 — **Judge it by the floor test**

Does the redesign **raise the floor** - the baseline of quality of life, lifespan, and healthspan for the worst-off? A higher average that leaves the bottom lower is a fail.

Loop back — After a redesign, return to Step 1. New rule-sets create new incentives, new proxies, and new ways to game them. The map is a living document, not a one-time verdict.

FIRST PASS ON ANY SYSTEM

Read it through four lenses

The IT troubleshooting toolkit, generalized: root-cause analysis, dependency mapping, and telemetry - applied to a script, a company, or your own psychology, in the same syntax.

1 INPUTS

What drives the behavior or the error? Stakeholder incentives, values in collision, rewards on offer.

2 ARCHITECTURE

What are the pathways and delivery mechanisms? Rule-sets, interfaces, pipelines, defaults, and feedback loops.

3 CONSTRAINTS

What are the hardware limits? Time, attention, energy, money, bandwidth - the finite currency nobody can exceed.

4 OUTPUT

What is the final state or crash? Burnout, churn, disengagement, consolidation - the symptom you started from.

What every map bottoms out in: terminal currency

Every stakeholder map ends in the same vocabulary: **emotional valence**, **nested reward loops** across timescales (minute-to-minute, hour-to-hour, day-to-day), and **self-determination needs - autonomy, competence, relatedness**. Two cautions belong on the map itself. First, **wanting is not liking**: a system can drive wanting up while satisfaction stays flat - that gap is exploitation. Second, humans instinctually seek **maximum output for minimal input**, a subsistence legacy that misfires in abundance.

Pattern index - name the mechanism

Proxy gaming / reward hacking - the metric improves while the goal degrades.

Crowding-out - adding an incentive reduces the behavior; the change can be irreversible.

Mismatched interface - the penalty lives in the pairing, not in the person's capability.

Energy-return collapse - effort stops paying, so disengagement is rational conservation.

Continuity bias - the current equilibrium is defended even when a better one serves everyone.

Truncation - the map stopped at instrumental goals and called the conflict irreducible.

Worked mini-example: "Why won't young people try?"

DOWNSTREAM READ

Lazy generation. Blame the Output, prescribe lectures and tougher attitudes. Nothing upstream changes.

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ISTOE MAP

Inputs: wages vs. housing and credential costs. **Architecture:** high entry cost, erratic payout. **Constraints:** finite time and energy. **Output:** disengagement. **Pattern:** energy-return collapse. **Redesign:** restore a return on effort - do not exhort effort into a broken return.

Before you trust a map, check these failure modes

- **Goodhart / Campbell:** once a measure becomes a target, people optimize the measure.
- **Preference falsification and strategic misreporting:** stakeholders may hide or reshape stated goals once they know a redesign follows.
- **Within-agent loop conflicts:** one person's short-term and long-term loops can want opposite things. The method maps between agents more cleanly than within one.
- **Transition problem:** a better rule-set still has to pass through people rewarded by the old one.
- **No neutral mapper:** the mapper has incentives too. State your objective - here, raise the floor - instead of claiming a view from nowhere.
- **No perfect alignment:** some trade-offs are impossible to eliminate. Declare what your redesign sacrifices.

The one-line test: strip the charge, map everyone to their terminal goals, name the pattern, check its failure modes, redesign the rule-set - and keep only redesigns that raise the floor.

ISTOE - Incentive Structures Theory of Everything. "Everything" means at every scale, not every phenomenon explained.